

22 Jul 2026 08:40:21 ET | 12 pages

Kingboard Laminates Holdings (1888.HK)

Read across from Citi Call with Nanya New Material

CITI'S TAKE

We hosted a call with **Nanya New Material (688519)** Board Secretary after posting a 1H26 profit alert. Key takeaways were **1)** expectation of continued increase in ASP for CCL and e-glass fabric during 2H26E, **2)** the tight supply of e-glass fabric should continue till end-2027 as earliest, **3)** Nanya GM will continue to expand significantly on sequential basis during 2H26 vs 1H26. We saw the call as a positive read through to the CCL industry including **KBL and Shengyi Tech**. KBL share price has dropped ~60% from all-time high this month which looks overdone at 8-9x PE which is even lower than historical mean low-teen PE. **Reiterate Buy.**

Strong net profit run rate during 1H26 preliminary results alert among CCL/ PCB companies - Nanya reported 1H26E net profit to have surged by over 3.5X yoy to Rmb420-500m with mid-pt guidance implying 369% yoy or 106% qoq. **Fig 1** exhibits the 1H26 preliminary results of CCL / PCB chain on China A-share stocks. Generally speaking, the quarterly profit rate should surge at highest degree at glass fabric plays (upstream), then CCL and lowest at PCB plays (downstream).

Implication of CCL ASP inflation during 2H26E - Nanya sees its ASP of CCL has almost doubled from Rmb160-170/sheet in end-2025 to Rmb300/sheet now on lead-free and halogen-free FR4 grade thanks to surging cost of upstream material e-glass fabric over the same period. See **Fig 2**. Mgmt expects the ASP of its CCL will continue to grow (likely Rmb360-400 at year end from mgmt) during 2H26 backed by **1)** continued demand growth of non-AI applications like auto, smartphone etc though the growth is modest, **2)** a notable CCL supply reduction on non-AI as the major CCL players like **EMC, Shengyi Tech** have been shifting from non-AI into AI applications.

Nanya expecting the sustainable tight supply of e-glass fabric till end-2027 as earliest- We thought the tight supply of e-glass fabric would be easing from mid-2027 for increasing looms (weaving machine from yarn into fabric). But Nanya mgmt shows a more aggressive view of expecting the tight supply to last at least end-2027 for strong demand outlook on AI-CCL applications. Nanya generates 70% of AI-CCL sales on M6-M8 grade with little vol for M9-10. The balance is M5 or below. Mgmt estimate AI-fabric accounting for ~20% of total capacity 3.6-3.7m sheets at this stage. Nanya will add 2m sheets with commencement in 2027 and bring uptown 6m sheets in 2028. Majority of which is set for AI-CCL.

Buy

Catalyst Watch: Upside, expires 02-AUG-26

Price (22 Jul 26 16:10)	HK\$40.26
Target price	HK\$130.00
Expected share price return	222.9%
Expected dividend yield	3.8%
Expected total return	226.8%
Market Cap	HK\$126,877M
	US\$16,180M

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Implication of Nanya sequential GM expansion this year - Nanya sees a sustainable GM expansion on sequential basis from 1Q to 4Q26. We see this also applies to other CCL players like **Shengyi Tech and KBL**. They have set internal guidance not to take orders if GM below 25% in 3Q, 20% below in 2Q and 10% below in 1Q.

Anticipation of KBL strong profit run rate in 2026E - We project 1H26E net profit to jump by >3X yoy to HK\$4.0bn. Some domestic investors expect KBL results as HK\$3.0bn which will likely miss our forecast. We see even if this is case, the key is quarterly profit rate would surge from HK\$1.0bn in 1Q26 to HK\$2-2.5bn per domestic investors view or to HK\$3.0bn in our model. The stronger profit run rate of KBL than pure CCL players like Shengyi Tech, Nanya is reasonable for stronger profit growth of upstream e-glass fabric. This is the power of vertical integration on KBL (self mfg of upstream) this year on phenomenal growth of fabric ASP vs other pure CCL players.

Figure 1. A snapshot of 1H26 preliminary results on CCL / PCB chain

Company	Ticker	1Q25	2Q25	1Q26	2Q26E	1Q26 YoY	2Q26E YoY	2Q26E QoQ	1H26 guidance	
Glass fiber / electronic fabric										
China Jushi 中国巨石	600176.SS	730.4	956.6	1,267.2	1,685.1	+73%	+76%	+33%	2,783.6 – 3,121.0	Roving
Grace Fabric 宏和科技	603256.SS	30.9	56.5	140.2	228.3	+354%	+304%	+63%	331.7 – 405.4	Special
Shandong Fiberglass 山东玻纤	605006.SS	8.7	~0	10.1	19.1	+15%	n.m.	+89%	23.4 – 35.1	2Q25 ~
CCL & upstream materials										
Shengyi Technology 生益科技	600183.SS	563.6	862.8	1,158.1	2,040.4	+105%	+136%	+76%	3,099.0 – 3,298.0	
Nanya New Material 南亚新材	688519.SS	21.1	66.1	150.1	309.9	+611%	+369%	+106%	420.0 – 500.0	
Goldenmax International 金安国纪	002636.SZ	23.4	47.1	201.8	573.2	+764%	+1,117%	+184%	730.0 – 820.0	
Sichuan EM Technology 东材科技	601208.SS	91.9	98.4	186.8	125.2	+103%	+27%	-33%	~312.0	Point g
Wazam New Materials 华正新材	603186.SS	18.4	24.3	30.9	149.1	+68%	+514%	+383%	155.0 – 205.0	
Epoxy Base Electronic Material 宏昌电子	603002.SS	6.5	9.9	0.5	38.9	-93%	+294%	n.m.	38.6 – 40.2	1H26 ir
PCB										
Dongshan Precision 东山精密	002384.SZ	455.9	302.1	1,109.9	1,840.1	+143%	+509%	+66%	2,900.0 – 3,000.0	Incl. op
WUS Printed Circuit 沪电股份	002463.SZ	762.5	920.3	1,242.1	1,672.9	+63%	+82%	+35%	2,830.0 – 3,000.0	Thailand
Shennan Circuits 深南电路	002916.SZ	491.4	868.6	850.2	1,349.8	+73%	+55%	+59%	2,100.0 – 2,300.0	
Shengyi Electronics 生益电子	688183.SS	200.2	330.3	444.7	664.6	+122%	+101%	+49%	1,081.8 – 1,136.8	
Delton Technology 广合科技	001389.SZ	240.4	251.2	392.6	542.4	+63%	+116%	+38%	910.0 – 960.0	Thailand
Fastprint Circuit Tech 兴森科技	002436.SZ	9.4	19.5	18.7	91.3	+100%	+368%	+388%	100.0 – 120.0	Substra
Olympic Circuit Technology 世运电路	603920.SS	179.8	204.3	36.6	46.9	-80%	-77%	+28%	67.0 – 100.0	Raw-m
Aoshikang Technology 奥士康	002913.SZ	112.3	83.6	17.5	71.5	-84%	-14%	+309%	78.0 – 100.0	CCL / c
Bomin Electronics 博敏电子	603936.SS	27.3	10.6	-10.9	-38.1	to loss	to loss	wider loss	-56.0 – -42.0	New pl
Ellington Electronics 依顿电子	603328.SS	116.3	144.4	37.7	67.8	-68%	-53%	+80%	92.5 – 118.5	Materi
Huizhou CEE Technology 中京电子	002579.SZ	6.8	11.5	5.6	-90.6	-17%	to loss	to loss	-90.0 – -80.0	Input ir
Champion Asia Electronics 广东骏亚	603386.SS	15.1	23.0	-20.5	11.5	to loss	-50%	to profit	-12.0 – -6.0	2Q26 s
Copper foil										
Jiayuan Technology 嘉元科技	688388.SS	24.5	12.3	120.5	254.5	+393%	n.m.	+111%	360.0 – 390.0	Recurri
Nuode New Materials 诺德股份	600110.SS	-37.7	-34.8	40.1	62.9	turnaround	turnaround	+57%	~103.0	Point g
PCB chemicals										
Skychem Technology 天承科技	688603.SS	19.0	17.8	29.9	32.6	+58%	+83%	+9%	60.0 – 65.0	
Guanghua Sci-Tech 光华科技	002741.SZ	25.2	31.1	41.1	50.4	+63%	+62%	+23%	85.0 – 98.0	

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Source: Citi Research, Company Reports

Figure 2. E-glass fabric ASP more than double of YTD 2026



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Source: Citi Research, F139 (subsidiary of SCI99), Company Reports

Kingboard Laminates Holdings

Valuation

Our target price for KBL shares of HK\$130 is based on a ~28-29x P/E for 2027E, at 3SD over mean, which is even higher than its historical cycle peak between +1SD and +2SD, to reflect the growing % of its AI-fabric new business from 2H26E which should trigger re-rating along with further earnings upgrade possibility on e-glass fabric given higher run rate of price inflation in June. We employ +3SD reflecting recent kickoff of three kilns on AI-fabric from 2Q26. We think the premium is justified as we expect a continued GM expansion cycle during 2026E-28E along with potential earnings upgrades given KBL would expand its customer base for AI-fabric under the NVDA and ASIC ecosystem this year. We think a PE methodology appropriately captures the company's medium-term operating performance. Our target price translates to 0.3x PEG (regional comp around 0.6x) backed by strong three-year earnings CAGR of 99% (was 92%) thru 2028E. We think this appears undemanding compared with regional CCL comps.

Risks

Upside/downside risks that could cause the stock to exceed/underperform our target price include: 1) faster/ slower-than-expected demand on upstream materials such as glass fabric and copper foil on AI-related products; 2) China macro growth performs faster/slower-than-expected; 3) stronger/weaker-than-expected stimulus policies in China; or 4) recovery/weakness in end-demand of electronic goods.

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Appendix A-1

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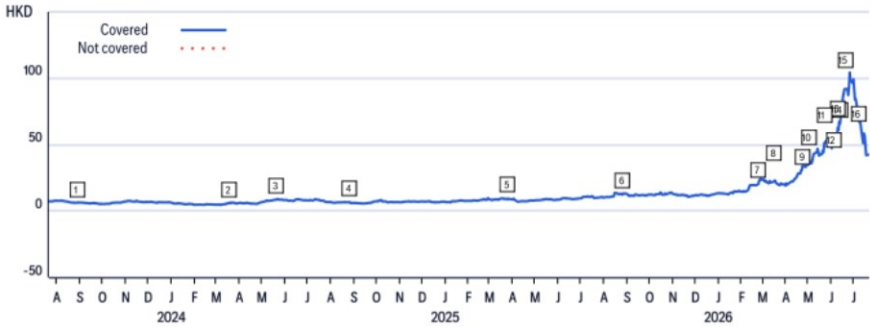
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Kingboard Laminates Holdings
(1888.HK)

Ratings and Target Price History
Fundamental Research

Analyst: Eric Lau



Date	Rating	Target Price	Closing Price
1 28-Aug-23 11:03:13	1	*10.00	6.22
2 18-Mar-24 13:55:33	1	*8.20	6.00
3 20-May-24 16:10:28	1	*12.50	8.50
4 26-Aug-24 12:52:14	1	*11.50	6.67
5 24-Mar-25 13:48:33	1	*14.00	9.23
6 25-Aug-25 14:05:25	1	*20.50	12.24

*Indicates Change

Date	Rating	Target Price	Closing Price
7 23-Feb-26 11:49:32	1	*28.00	20.29
8 16-Mar-26 17:59:34	1	*30.00	22.10
9 22-Apr-26 09:32:35	1	*43.00	30.72
10 03-May-26 18:02:15	1	*51.00	34.54
11 25-May-26 19:33:53	1	*66.00	50.87
12 03-Jun-26 08:03:10	1	*76.00	54.00

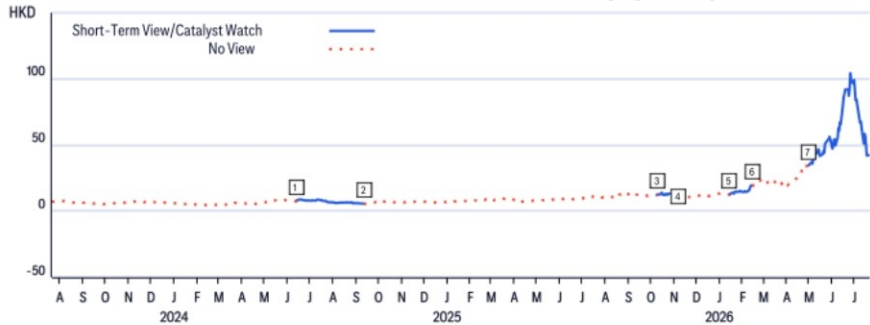
Date	Rating	Target Price	Closing Price
13 08-Jun-26 10:05:51	1	*80.00	55.69
14 14-Jun-26 17:16:22	1	*100.00	65.60
15 18-Jun-26 00:33:31	1	*120.00	91.85
16 06-Jul-26 04:51:13	1	*130.00	73.85

Rating/target price changes above reflect Eastern Time

Kingboard Laminates Holdings
(1888.HK)

Short-Term View/Catalyst Watch Research

Analyst: Eric Lau



Date	Action	Expected Direction	Duration	Closing Price
1 13-Jun-24 06:22:03	Add CW	Upside	90 Days	7.63
2 11-Sep-24 00:14:59	Remove CW	Upside	90 Days	5.59
3 09-Oct-25 07:10:54	Add CW	Upside	30 Days	12.56

CW - Catalyst Watch, STV - Short-Term View

Date	Action	Expected Direction	Duration	Closing Price
4 07-Nov-25 12:06:35	Remove CW	Upside	30 Days	11.85
5 14-Jan-26 03:04:03	Add CW	Upside	30 Days	12.40
6 13-Feb-26 12:13:30	Remove CW	Upside	30 Days	19.29

Date	Action	Expected Direction	Duration	Closing Price
7 03-May-26 14:02:15	Add CW	Upside	90 Days	34.54

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